Fooled by Randomness -- Fill-in-the-Blank QUIZ

100 Questions - Grouped by Chapter - Nassim Nicholas Taleb

Prologue & Overview

1. Taleb's fictional trader protagonist and alter ego is named Nero _____.
2. The book's subtitle describes randomness as 'the hidden _____ of chance in life and in the markets.'
3. The simulation technique named after a famous gambling city that generates thousands of possible market histories is _____ Carlo simulation.
4. The ancient Athenian lawgiver who warned that no man should be counted happy until he is dead is _____.
5. Solon's warning was famously delivered to the wealthy king _____ of Lydia.
6. The population of failed traders we never observe because they have been wiped out is called the 'cemetery of _____ evidence.'
7. Taleb's core claim is that humans systematically _____ the role of luck in apparent success.
8. Nero's trading strategy deliberately accepts many small _____ in exchange for rare, large gains.

Part I - Ch. 1: If You're So Rich, Why Aren't You So Smart?

9. A person whose wealth is primarily the product of luck rather than skill is called a 'lucky _____' by Taleb.
10. Taleb introduces the notion of _____ histories -- the set of all alternative outcomes that could plausibly have occurred.
11. In the dentist thought experiment, checking the market every _____ minutes exposes the investor to far more emotional noise than checking monthly.
12. Taleb insists that decisions should be judged by the _____ of the decision-making process, not solely by the final result.
13. The neighbour trader who is wealthier than Nero is presented as an example of someone _____ by randomness.
14. The invisible majority of traders who tried and failed, leaving no record, form what Taleb calls the 'traders' _____.'
15. Taleb argues that a single good outcome tells us _____ about the true quality of the strategy that produced it.

Part I - Ch. 2: A Bizarre Accounting Method

16. Taleb uses Russian _____ as a metaphor to show that surviving a dangerous gamble does not make the gamble wise.

17. In a revolver with six chambers and one bullet, the probability of surviving a single pull is _____ out of six.
18. The 'bizarre accounting method' of the chapter title refers to evaluating performance by counting only _____ while ignoring the losers.
19. Because we only study survivors, we overestimate the average skill of _____ and fund managers.
20. Taleb contrasts the variable, luck-driven income of traders unfavourably with the stable, skill-linked income of a _____.
21. Assigning credit for good outcomes to skill, while attributing bad outcomes to bad luck, is described as _____ accounting.

Part I - Ch. 3: A Mathematical Meditation on History

22. The Monte Carlo method generates a large number of _____ to reveal how often a given strategy succeeds by chance.
23. Nero uses _____ simulation to stress-test his portfolio against thousands of possible market scenarios.
24. Taleb argues that a strong past track record of market returns tells us _____ reliable information about future skill.
25. If enough independent traders follow random strategies, some will produce impressive _____ records purely by chance.
26. Constructing a trading strategy by searching through historical data until a profitable pattern appears is called _____ mining.
27. Explanations invented after the fact to account for a market move are examples of the _____ fallacy.

Part I - Ch. 4: Randomness, Nonsense, and the Scientific Intellectual

28. Taleb's favourite philosopher, who introduced the criterion of _____ to demarcate science from non-science, was Karl Popper.
29. According to Popper, for a theory to be scientific it must be capable of being proven _____.
30. The philosopher who first rigorously articulated the problem of _____ -- that observations alone cannot establish universal laws -- was David Hume.
31. Hume demonstrated that even an enormous number of _____ instances cannot logically prove a universal generalisation.
32. The logical asymmetry Popper exploited: while no number of confirmations proves a rule, a single _____ disproves it.
33. Taleb praises _____ empiricism -- the stance of remaining sceptical and refusing to accept claims that cannot be falsified.
34. The Latin phrase 'post hoc _____ propter hoc' names the fallacy of concluding that because B followed A, A caused B.

Part II - Ch. 5: Survival of the Least Fit

35. The idea that we observe only successful outcomes because failures have been eliminated is called _____ bias.

36. Taleb's famous metaphor for survivorship bias involves _____ typing randomly on typewriters.

37. Given infinite time, a monkey randomly striking keys would eventually reproduce the complete works of _____.

38. If 10,000 managers each flip a fair coin annually and you eliminate losers, after five years roughly _____ will have an unbroken winning streak.

39. Those surviving managers will appear _____ even though their results were entirely due to chance.

40. Taleb argues that studying only _____ funds or traders teaches us nothing reliable about the strategies that produced success.

41. Biological evolution, Taleb notes, does not guarantee that the _____ individual survives -- only the one that happened to fit current conditions.

42. The chapter subtitle implies that even natural selection can mistake _____ for fitness.

Part II - Ch. 6: Skewness and Asymmetry

43. Distributions where rare catastrophic losses are possible but invisible in normal data are said to have _____ tails.

44. The strategy of accumulating many small gains while remaining exposed to one devastating loss is compared to picking up _____ in front of a steamroller.

45. Taleb prefers to be _____ skewed -- suffering small, frequent losses in exchange for occasional enormous gains.

46. When the most likely outcome is a gain but rare losses are catastrophic, the _____ value of the distribution is negative.

47. The crucial distinction Taleb draws is between the median (the most frequent outcome) and the _____ (the probability-weighted average).

48. A strategy that profits 999 out of 1,000 days but suffers a devastating loss on day 1,000 is described as _____ -roulette style trading.

49. The _____ of a distribution -- its degree of asymmetry -- determines whether frequent small wins mask a negative expected outcome.

50. Taleb's preferred trades have positive _____ value even though they lose money the majority of the time.

Part II - Ch. 7: The Problem of Induction

51. Hume showed that no number of _____ observations can logically guarantee a universal conclusion.

52. The classic philosophical example: observing one million _____ swans cannot prove all swans share that colour.
53. In 1697, Dutch explorers in Australia discovered _____ swans, shattering the longstanding European assumption.
54. A theory that cannot in principle be shown to be false is described by Popper as _____.
55. Taleb's vivid modern illustration of the induction problem is a _____ that is fed every day for a year.
56. On the turkey's thousandth day of being fed, its inductively confident prediction of another meal is violently _____.
57. The correct response to the problem of induction, Taleb argues, is to maintain _____ about any prediction.

Part II - Ch. 8: Monkeys on Typewriters

58. The chapter's central point is that survivorship bias causes us to mistake _____ for skill.
59. Taleb argues that even a _____ -year track record is insufficient to distinguish skill from chance in financial markets.
60. A strategy optimised to fit historical data perfectly will almost certainly _____ when applied to new data.
61. Fitting a model so closely to past data that it captures noise rather than signal is called _____.
62. Financial journalism reinforces survivorship bias by reporting only on _____ while ignoring the silent majority of failures.
63. A trader who prospered during a prolonged bull market may simply have been _____ by a favourable environment.
64. Taleb notes that the best-performing fund manager at the decade's end is most likely the one who took the most _____ and got lucky.

Part III - Ch. 9: Nonlinear Things

65. Odysseus ordered his sailors to fill their ears with _____ so they could not hear the Sirens' song.
66. Odysseus had himself _____ to the mast so he could listen to the Sirens without being able to act on impulse.
67. Taleb uses the Odysseus story as a model for pre-committing to _____ in advance of emotional market conditions.
68. The chapter title highlights that financial markets produce _____ outcomes -- small inputs can cause disproportionate results.
69. Taleb's version of the Odysseus strategy is to set strict _____ -loss limits before the market opens.

Part III - Ch. 10: Loser Takes All

70. Markets where one competitor captures almost all rewards while many others receive almost nothing are called _____ -take-all markets.

71. The biblical principle -- 'to him who has, more shall be given' -- is associated with the _____ effect.

72. Tiny initial advantages in winner-take-all markets are amplified through _____ dynamics.

73. Taleb argues that the enormous income gap between a famous author and an equally talented unknown reflects _____ -take-all dynamics.

74. In a winner-take-all market, early _____ -- being visible at the right moment -- matters more than intrinsic quality.

75. The phenomenon of _____ returns means that whoever gains an early lead tends to widen the gap indefinitely.

Part III - Ch. 11: We Are Probability Blind

76. The two psychologists who pioneered the experimental study of human cognitive biases are Daniel Kahneman and Amos _____.

77. Their framework describing how people weigh gains and losses asymmetrically is called _____ theory.

78. According to prospect theory, people feel the pain of a loss approximately _____ times as intensely as the pleasure of an equivalent gain.

79. The bias in which an initial, often arbitrary number unduly influences subsequent estimates is called _____ bias.

80. The heuristic by which people judge probability by how easily a vivid example comes to mind is the _____ heuristic.

81. The illusion that one can influence a fundamentally random outcome is called the illusion of _____.

82. Seeing meaningful patterns in genuinely random sequences -- faces in clouds, trends in noise -- is called _____.

83. The false belief that a series of successes proves 'momentum' is the _____ hand fallacy.

84. Taleb notes that even when his rational mind knows a market move is noise, his _____ system still generates an emotional response.

85. Kahneman and Tversky showed that people are not rational _____ maximisers but are instead subject to systematic biases.

Part III - Ch. 12: Gamblers' Ticks and Pigeons in a Box

86. The behaviourist psychologist who demonstrated superstitious behaviour in pigeons via random reinforcement was B. F. _____.

87. Skinner delivered food pellets to pigeons at _____ intervals, with no connection to any action the pigeon performed.

88. The pigeons developed _____ behaviours because they mistakenly associated those actions with receiving food.

89. The gambler's fallacy is the mistaken belief that after a long run of the same outcome, the _____ outcome is 'due.'

90. Taleb recommends checking portfolio performance _____ rather than daily or hourly to reduce exposure to meaningless noise.

Part III - Ch. 13: Carneades Comes to Rome

91. The ancient Greek sceptic philosopher who visited Rome and argued convincingly on both sides of every ethical question was _____.

92. The ancient philosophical school that advocated suspending judgement on all questions is called _____.

93. The Stoic philosopher whose extensive letters Taleb reads as a manual for living wisely under uncertainty was _____.

94. The Stoic slave-philosopher who taught that the only thing within our control is our own _____, not external events, was Epictetus.

95. Taleb's own preferred stance -- combining rigorous scepticism with openness to experience -- is called _____ empiricism.

Epilogue & General

96. Solon warned Croesus that _____ alone -- not wealth or power -- reveals whether a life has been truly fortunate.

97. The financial company whose 1998 collapse demonstrated that Nobel-calibre models do not eliminate tail risk was _____.

98. The two LTCM principals who shared a Nobel Prize for option-pricing theory were Myron Scholes and Robert _____.

99. The distribution assumed by most standard financial models -- which underestimates extreme events -- is the _____ distribution.

100. The mathematician who proposed using power-law distributions to model financial markets was Benoit _____.

101. Taleb argues that the only honest response to radical uncertainty is to build _____ into systems.

102. The book's ultimate lesson, echoing Solon, is that apparent _____ should never be mistaken for durable success.